Typically, familiar variables affect the secular cycles. The ebb and flow of the economy, inflation, consumer spending, employment, fiscal and monetary policy, sentiment, interest rates, etc., all impact the longer cycle of price.

What happens when an externality hits the markets like that asteroid from space?[201] What happens when a non-economic event crashes into stocks and bonds, and derails their prior path? Consider some of history's externalities that have impacted markets:

1914: Assassination of Archduke Franz Ferdinand, sparking WW1.

1941: Attack on Pearl Harbor, bringing the US into WW2.

1963: Assassination of President JFK.

2001: September 11 terror attacks.

2011: Tōhoku earthquake and tsunami, causing a system failure at the Fukushima Daiichi nuclear plant.

2020: Covid-19 pandemic, leading to a global lockdown.

These are just six of the more obvious examples out of many.

When externalities hit, the initial emotional reaction causes markets to wobble. A spike in fear leads to a sell-off that is fast and hard. The next reaction is the assertion of rationality that follows the emotions. The initial panic is seen to be overwrought, the impact on economies and revenues less than initially feared. Then, markets normalize, and resume their prior trend.

Panic, rationality, and resumption of prior trend as markets reflect new information into expectations. Market historians[202] have seen this over and over again throughout history.

Covid-19 is a textbook example. It led to the fastest bear market in history, and the fastest snapback to prior highs.

We should never assume that an externality is sufficient to derail whatever prior trend was in place.